

# NVIDIA Corporation

NVDA — Annual Report on Form 10-K (Illustrative)

Fiscal Year Ended January 26, 2025

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## Item 1. Business Overview

NVIDIA Corporation designs graphics processing units (GPUs), system-on-chip units, and networking products for the gaming, professional visualization, data center, and automotive markets. Over the past several fiscal years, the Company's data center segment has become its dominant revenue driver, powered by demand for accelerated computing and generative AI infrastructure. NVIDIA's product portfolio spans GPU accelerators (the H-series and Blackwell architecture families), networking interconnects (InfiniBand and Ethernet switching following the Mellanox acquisition), and the CUDA software platform, which remains a central pillar of the Company's competitive moat by locking in developer and enterprise workloads to NVIDIA's hardware ecosystem.

The Company operates through two primary reportable segments: Compute & Networking, which includes data center and automotive platforms, and Graphics, which includes gaming, professional visualization, and OEM products. Data center has grown from a supporting segment to the Company's primary growth engine, driven by hyperscale cloud providers and enterprise customers building out AI training and inference infrastructure. As of fiscal year-end, the Company employed approximately 32,000 people worldwide, with the majority of research and development staff located in the United States, Israel, and India.

## Item 1A. Risk Factors

The Company's business is subject to a number of risks, the most significant of which are summarized below.

- **Customer concentration:** a small number of hyperscale cloud and infrastructure customers account for a substantial and growing share of data center revenue. The loss of, or a material reduction in orders from, any one of these customers could materially affect results.
- **Export controls and geopolitical risk:** U.S. government restrictions on the export of advanced AI accelerators to certain countries, including China, have reduced addressable revenue in those markets and may be expanded or tightened further.
- **Competitive risk from custom silicon:** several large cloud customers are investing in internally designed AI accelerators (application-specific integrated circuits), which could reduce their reliance on merchant GPU suppliers including NVIDIA over time.
- **Supply chain concentration:** the Company depends on a limited number of external foundry and advanced packaging partners for leading-edge semiconductor manufacturing capacity, creating exposure to capacity constraints and geographic concentration risk, particularly in Taiwan.
- **Valuation and demand-cycle sensitivity:** the Company's market valuation reflects expectations of sustained, multi-year AI infrastructure investment; a slowdown in hyperscaler capital expenditure could disproportionately affect the Company's results and stock price.
- **Intellectual property and litigation risk:** the Company is periodically subject to patent infringement claims and export-control enforcement inquiries, which can result in costly litigation or operational restrictions.

- Product transition risk: the Company's revenue depends on successful, well-timed transitions to new GPU architectures; delays in manufacturing yield or design validation could shift revenue between fiscal periods.

## Item 7. Management's Discussion and Analysis

Fiscal 2025 total revenue grew substantially year-over-year, driven primarily by data center revenue as customers continued to deploy accelerated computing infrastructure for generative AI training and inference workloads. Gross margin remained near the mid-70% range, reflecting continued pricing strength for the Company's newest-generation accelerators and a favorable product mix weighted toward higher-margin data center platforms.

Management noted that demand for the Company's most advanced accelerator platforms continued to exceed available supply through much of the fiscal year, and that the Company expects capacity constraints to gradually ease as manufacturing partners bring additional advanced packaging capacity online. Management reiterated that data center demand visibility extends across multiple quarters based on customer order commitments, though it cautioned that this visibility is not a guarantee of future revenue. Operating expenses grew primarily due to increased research and development headcount supporting next-generation architecture development and expanded networking product lines.

## Consolidated Income Statement Summary

| (\$ in millions)   | FY2025    | FY2024   |
|--------------------|-----------|----------|
| Revenue            | \$130,497 | \$60,922 |
| Cost of revenue    | \$32,639  | \$16,621 |
| Gross profit       | \$97,858  | \$44,301 |
| Operating expenses | \$16,405  | \$11,329 |
| Operating income   | \$81,453  | \$32,972 |
| Net income         | \$72,880  | \$29,760 |
| Diluted EPS        | \$2.94    | \$1.19   |

## Balance Sheet Highlights

| (\$ in millions)                               | FY2025    | FY2024   |
|------------------------------------------------|-----------|----------|
| Cash, cash equivalents & marketable securities | \$43,210  | \$25,984 |
| Total assets                                   | \$111,601 | \$65,728 |
| Total liabilities                              | \$32,274  | \$22,750 |
| Total stockholders' equity                     | \$79,327  | \$42,978 |

## Revenue by Segment

| Segment                    | FY2025 Revenue | FY2024 Revenue | YoY Growth |
|----------------------------|----------------|----------------|------------|
| Data Center                | \$115.2B       | \$47.5B        | +142%      |
| Gaming                     | \$11.4B        | \$10.4B        | +9%        |
| Professional Visualization | \$1.9B         | \$1.6B         | +19%       |
| Automotive                 | \$1.7B         | \$1.1B         | +55%       |
| Total Revenue              | \$130.5B       | \$60.9B        | +114%      |

## Competitive Landscape

NVIDIA's principal competitors in AI accelerators include AMD's Instinct accelerator line and custom silicon developed by large cloud providers, including Google's TPU and Amazon's Trainium and Inferentia families. Management believes NVIDIA's primary competitive advantage remains the maturity and breadth of the CUDA software ecosystem, which represents a significant switching cost for customers with existing AI workloads built on the platform. In networking, the Company competes with Broadcom and other Ethernet and InfiniBand switch vendors for data center interconnect share.

## Outlook

Management expects data center demand to remain the primary driver of company growth over the coming fiscal year, supported by continued hyperscaler capital expenditure commitments and the ramp of the Company's next-generation Blackwell architecture. Management cautioned that near-term gross margin may be modestly pressured during the initial phase of the new architecture ramp, consistent with historical product transition patterns, before recovering as manufacturing yields mature.